

Production Planning Case Study

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Constraint Based Production Scheduling

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Key Points



- Case study from industry
- Production planning and detailed scheduling
- Based on project with medical devices company in Cork
 - Real problem
 - Realistic data
- Solved in two stages
 - Production planning based on run-out days and safety stock levels
 - Scheduling using our generic scheduling tool

Problem



This is a case study from industry, combining production planning and detailed scheduling. It is based on a project that some of my colleagues were working on for a local medical devices company.

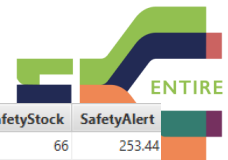
The overall problem is to decide which products to make in which quantities over the planning horizon, so that we have enough stock to satisfy any customer demand, and make sure that we have some safety margin if the demand suddenly increases. At the same time we do not want to create inventory in products that we will not sell in the near future, as this increases our inventory carrying cost.

The company uses two main concepts for production planning: The run-out days for each product state how long the current stock will last, given a projected customer demand profile. We try to achieve the same run-out days value for all products, this works well for fast and slow moving products.

The safety stock values says how much stock we should have for each product. This gives us more control over the stock levels, this works better if the demand cannot be predicted as accurately as we would like, but it is more difficult to compare the stock levels for different products.

The production planning part of the application decides how much to produce for which product, but this is based on an estimate of the production capacity for the planning period. We use the detailed scheduling part of the application to validate the plan generated, and make sure that we can really produce the required capacities in the given planning period.

Product List



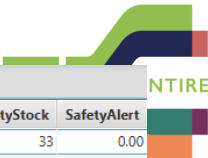
Name	ShortName	Nr	DailySales	InventoryAtStart	CalcDaysCover	LotSize	CycleTime	LotDuration	Machine	ProductType	SafetyStock	SafetyAlert
P1	P1	1	3.20	877	274.06	163	1.33	217	8	pt1	66	253.44
P2	P2	2	11.40	1,011	88.68	240	1.20	288	8	pt2	774	20.79
P3	P3	3	796.20	26,204	32.91	420	2.10	882	5,7,9,10,13,14,16	pt3	12,108	17.70
P4	P4	4	233.80	7,877	33.69	420	2.00	840	5,7,9,10,13,14,16	pt4	3,358	19.33
P5	P5	5	267.30	7,152	26.76	350	2.30	805	5,7,9,10,13,14,16	pt5	3,906	12.14
P6	P6	6	606.20	18,654	30.77	350	2.30	805	5,7,9,10,13,14,16	pt6	9,293	15.44
P7	P7	7	137.30	4,939	35.97	420	2.00	840	5,7,9,10,13,14,16	pt7	1,979	21.56
P8	P8	8	88.30	3,152	35.70	350	2.30	805	5,7,9,10,13,14,16	pt8	1,342	20.50
P9	P9	9	77.20	2,688	34.82	420	2.10	882	5,7,9,10,13,14,16	pt9	1,082	20.80
P10	P10	10	165.60	5,971	36.06	420	2.10	882	5,7,9,10,13,14,16	pt10	2,649	20.06
P11	P11	11	60.70	2,310	38.06	420	2.10	882	5,7,9,10,13,14,16	pt11	877	23.61
P12	P12	12	51.80	1,928	37.22	350	2.30	805	5,7,9,10,13,14,16	pt12	883	20.17
P13	P13	13	79.00	2,231	28.24	320	2.30	736	5,7,9,10,13,14,16	pt13	1,193	13.14
P14	P14	14	271.20	8,951	33.01	432	2.10	908	5,7,9,10,13,14,16	pt14	3,732	19.24
P15	P15	15	86.60	3,244	37.46	336	2.00	672	5,7,9,10,13,14,16	pt15	1,454	20.67
P16	P16	16	42.40	2,110	49.76	420	2.10	882	5,7,9,10,13,14,16	pt16	875	29.13
P17	P17	17	17.60	681	38.69	420	2.00	840	5,7,9,10,13,14,16	pt17	290	22.22
P18	P18	18	217.50	5,710	26.25	336	2.00	672	5,7,9,10,13,14,16	pt18	2,814	13.31
P19	P19	19	56.30	2,450	43.52	420	2.00	840	5,7,9,10,13,14,16	pt19	804	29.24
P20	P20	20	13.60	506	37.21	480	2.00	960	5,7,9,10,13,14,16	pt20	272	17.21
P21	P21	21	10.80	977	90.46	360	2.10	756	5,7,9,10,13,14,16	pt21	293	63.33
P22	P22	22	21.80	1,538	70.55	420	2.00	840	5,7,9,10,13,14,16	pt22	349	54.54
P23	P23	23	189.10	5,195	27.47	360	2.30	828	5,7,9,10,13,14,16	pt23	2,941	11.92
P24	P24	24	9.50	886	93.26	350	2.30	805	5,7,9,10,13,14,16	pt24	191	73.16
P25	P25	25	7.50	326	43.47	120	2.30	276	5,7,9,10,13,14,16	pt25	210	15.47
P26	P26	26	11.60	418	36.03	360	2.10	756	5,7,9,10,13,14,16	pt26	187	19.91
P27	P27	27	16.50	1,388	84.12	480	2.10	1,008	5,7,9,10,13,14,16	pt27	218	70.91

Product List (Sorted by Daily Sales)



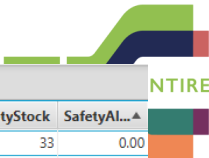
Product X												
Name	ShortName	Nr	DailySales	InventoryAtStart	CalcDaysCover	LotSize	CycleTime	LotDuration	Machine	ProductType	SafetyStock	SafetyAlert
P3	P3	3	796.20	26,204	32.91	420	2.10	882	5,7,9,10,13,14,16	pt3	12,108	17.70
P6	P6	6	606.20	18,654	30.77	350	2.30	805	5,7,9,10,13,14,16	pt6	9,293	15.44
P14	P14	14	271.20	8,951	33.01	432	2.10	908	5,7,9,10,13,14,16	pt14	3,732	19.24
P53	P53	53	267.70	8,264	30.87	504	1.20	605	1,2,3,8	pt2	3,734	16.92
P5	P5	5	267.30	7,152	26.76	350	2.30	805	5,7,9,10,13,14,16	pt5	3,906	12.14
P124	P124	124	242.70	16,503	68.00	240	5.00	1,200	15,18,19	pt65	3,595	53.19
P4	P4	4	233.80	7,877	33.69	420	2.00	840	5,7,9,10,13,14,16	pt4	3,358	19.33
P123	P123	123	223.40	7,600	34.02	490	2.33	1,142	1,2,3,8	pt51	3,738	17.29
P18	P18	18	217.50	5,710	26.25	336	2.00	672	5,7,9,10,13,14,16	pt18	2,814	13.31
P23	P23	23	189.10	5,195	27.47	360	2.30	828	5,7,9,10,13,14,16	pt23	2,941	11.92
P56	P56	56	168.20	4,824	28.68	504	1.20	605	1,2,3,8	pt2	2,660	12.87
P10	P10	10	165.60	5,971	36.06	420	2.10	882	5,7,9,10,13,14,16	pt10	2,649	20.06
P59	P59	59	152.80	5,666	37.08	420	1.33	559	1,2,3,8	pt51	3,095	16.83
P7	P7	7	137.30	4,939	35.97	420	2.00	840	5,7,9,10,13,14,16	pt7	1,979	21.56
P57	P57	57	134.80	5,358	39.75	588	1.10	647	1,2,3,8	pt53	2,294	22.73
P36	P36	36	133.50	3,895	29.18	336	2.00	672	5,7,9,10,13,14,16	pt36	2,057	13.77
P54	P54	54	122.40	5,059	41.33	480	1.33	639	1,2,3,8	pt51	1,965	25.28
P121	P121	121	98.10	4,334	44.18	588	1.10	647	1,2,3,8	pt53	1,524	28.64
P8	P8	8	88.30	3,152	35.70	350	2.30	805	5,7,9,10,13,14,16	pt8	1,342	20.50
P125	P125	125	86.90	8,593	98.88	240	5.00	1,200	15,18,19	pt65	1,022	87.12
P15	P15	15	86.60	3,244	37.46	336	2.00	672	5,7,9,10,13,14,16	pt15	1,454	20.67
P100	P100	100	85.20	2,665	31.28	420	1.33	559	1,2,3,8	pt56	1,115	18.19
P55	P55	55	79.50	2,876	36.18	441	2.33	1,028	1,2,3,8	pt52	1,367	18.98
P13	P13	13	79.00	2,231	28.24	320	2.30	736	5,7,9,10,13,14,16	pt13	1,193	13.14
P9	P9	9	77.20	2,688	34.82	420	2.10	882	5,7,9,10,13,14,16	pt9	1,082	20.80
P47	P47	47	74.60	5,391	72.27	160	6.84	1,095	2,11	pt47	1,132	57.09
P11	P11	11	60.70	2,310	38.06	420	2.10	882	5,7,9,10,13,14,16	pt11	877	23.61
P61	P61	61	60.30	2,758	45.74	490	1.33	652	1,2,3,8	pt56	1,073	27.94
P78	P78	78	57.60	2,234	38.78	588	1.10	647	1,2,3,8	pt59	824	24.48
P19	P19	19	56.30	2,450	43.52	420	2.00	840	5,7,9,10,13,14,16	pt19	804	29.24

Product List (Sorted by Days Cover)



Product X												
Name	ShortName	Nr	DailySales	InventoryAtStart	CalcDaysCover	LotSize	CycleTime	LotDuration	Machine	ProductType	SafetyStock	SafetyAlert
P35	P35	35	1.30	26	20.00	120	2.30	276	5,7,9,10,13,14,16	pt35	33	0.00
P18	P18	18	217.50	5,710	26.25	336	2.00	672	5,7,9,10,13,14,16	pt18	2,814	13.31
P5	P5	5	267.30	7,152	26.76	350	2.30	805	5,7,9,10,13,14,16	pt5	3,906	12.14
P23	P23	23	189.10	5,195	27.47	360	2.30	828	5,7,9,10,13,14,16	pt23	2,941	11.92
P13	P13	13	79.00	2,231	28.24	320	2.30	736	5,7,9,10,13,14,16	pt13	1,193	13.14
P56	P56	56	168.20	4,824	28.68	504	1.20	605	1,2,3,8	pt2	2,660	12.87
P58	P58	58	55.00	1,590	28.91	420	2.33	979	1,2,3,8	pt54	1,208	6.95
P36	P36	36	133.50	3,895	29.18	336	2.00	672	5,7,9,10,13,14,16	pt36	2,057	13.77
P6	P6	6	606.20	18,654	30.77	350	2.30	805	5,7,9,10,13,14,16	pt6	9,293	15.44
P53	P53	53	267.70	8,264	30.87	504	1.20	605	1,2,3,8	pt2	3,734	16.92
P100	P100	100	85.20	2,665	31.28	420	1.33	559	1,2,3,8	pt56	1,115	18.19
P122	P122	122	45.40	1,421	31.30	490	1.33	652	1,2,3,8	pt56	725	15.33
P3	P3	3	796.20	26,204	32.91	420	2.10	882	5,7,9,10,13,14,16	pt3	12,108	17.70
P14	P14	14	271.20	8,951	33.01	432	2.10	908	5,7,9,10,13,14,16	pt14	3,732	19.24
P4	P4	4	233.80	7,877	33.69	420	2.00	840	5,7,9,10,13,14,16	pt4	3,358	19.33
P123	P123	123	223.40	7,600	34.02	490	2.33	1,142	1,2,3,8	pt51	3,738	17.29
P77	P77	77	33.00	1,146	34.73	336	1.20	404	1,2,3,8	pt61	565	17.61
P9	P9	9	77.20	2,688	34.82	420	2.10	882	5,7,9,10,13,14,16	pt9	1,082	20.80
P8	P8	8	88.30	3,152	35.70	350	2.30	805	5,7,9,10,13,14,16	pt8	1,342	20.50
P7	P7	7	137.30	4,939	35.97	420	2.00	840	5,7,9,10,13,14,16	pt7	1,979	21.56
P26	P26	26	11.60	418	36.03	360	2.10	756	5,7,9,10,13,14,16	pt26	187	19.91
P10	P10	10	165.60	5,971	36.06	420	2.10	882	5,7,9,10,13,14,16	pt10	2,649	20.06
P55	P55	55	79.50	2,876	36.18	441	2.33	1,028	1,2,3,8	pt52	1,367	18.98
P63	P63	63	42.40	1,565	36.91	490	1.33	652	1,2,3,8	pt51	689	20.66
P59	P59	59	152.80	5,666	37.08	420	1.33	559	1,2,3,8	pt51	3,095	16.83
P20	P20	20	13.60	506	37.21	480	2.00	960	5,7,9,10,13,14,16	pt20	272	17.21
P12	P12	12	51.80	1,928	37.22	350	2.30	805	5,7,9,10,13,14,16	pt12	883	20.17
P44	P44	44	5.50	205	37.27	360	2.10	756	5,7,9,10,13,14,16	pt44	126	14.36
P15	P15	15	86.60	3,244	37.46	336	2.00	672	5,7,9,10,13,14,16	pt15	1,454	20.67

Product List (Sorted by Safety Alert)



Product X													
Name	ShortName	Nr	DailySales	InventoryAtStart	CalcDaysCover	LotSize	CycleTime	LotDuration	Machine		ProductType	SafetyStock	SafetyAL...
P35	P35	35	1.30	26	20.00	120	2.30	276	5,7,9,10,13,14,16		pt35	33	0.00
P51	P51	51	5.70	405	71.05	140	4.50	630	2		pt50	381	4.21
P58	P58	58	55.00	1,590	28.91	420	2.33	979	1,2,3,8		pt54	1,208	6.95
P82	P82	82	6.10	259	42.46	441	1.33	587	1,2,3,8		pt51	189	11.48
P23	P23	23	189.10	5,195	27.47	360	2.30	828	5,7,9,10,13,14,16		pt23	2,941	11.92
P5	P5	5	267.30	7,152	26.76	350	2.30	805	5,7,9,10,13,14,16		pt5	3,906	12.14
P56	P56	56	168.20	4,824	28.68	504	1.20	605	1,2,3,8		pt2	2,660	12.87
P13	P13	13	79.00	2,231	28.24	320	2.30	736	5,7,9,10,13,14,16		pt13	1,193	13.14
P18	P18	18	217.50	5,710	26.25	336	2.00	672	5,7,9,10,13,14,16		pt18	2,814	13.31
P36	P36	36	133.50	3,895	29.18	336	2.00	672	5,7,9,10,13,14,16		pt36	2,057	13.77
P44	P44	44	5.50	205	37.27	360	2.10	756	5,7,9,10,13,14,16		pt44	126	14.36
P122	P122	122	45.40	1,421	31.30	490	1.33	652	1,2,3,8		pt56	725	15.33
P6	P6	6	606.20	18,654	30.77	350	2.30	805	5,7,9,10,13,14,16		pt6	9,293	15.44
P25	P25	25	7.50	326	43.47	120	2.30	276	5,7,9,10,13,14,16		pt25	210	15.47
P59	P59	59	152.80	5,666	37.08	420	1.33	559	1,2,3,8		pt51	3,095	16.83
P53	P53	53	267.70	8,264	30.87	504	1.20	605	1,2,3,8		pt2	3,734	16.92
P112	P112	112	3.40	134	39.41	588	1.20	706	1,2,3,8		pt2	76	17.06
P20	P20	20	13.60	506	37.21	480	2.00	960	5,7,9,10,13,14,16		pt20	272	17.21
P32	P32	32	5.40	222	41.11	480	2.00	960	5,7,9,10,13,14,16		pt32	129	17.22
P123	P123	123	223.40	7,600	34.02	490	2.33	1,142	1,2,3,8		pt51	3,738	17.29
P99	P99	99	5.70	247	43.33	96	2.00	192	1,2,3,8		pt60	148	17.37
P77	P77	77	33.00	1,146	34.73	336	1.20	404	1,2,3,8		pt61	565	17.61
P3	P3	3	796.20	26,204	32.91	420	2.10	882	5,7,9,10,13,14,16		pt3	12,108	17.70
P100	P100	100	85.20	2,665	31.28	420	1.33	559	1,2,3,8		pt56	1,115	18.19
P55	P55	55	79.50	2,876	36.18	441	2.33	1,028	1,2,3,8		pt52	1,367	18.98
P14	P14	14	271.20	8,951	33.01	432	2.10	908	5,7,9,10,13,14,16		pt14	3,732	19.24
P80	P80	80	7.20	293	40.69	420	1.33	559	1,2,3,8		pt51	154	19.31
P4	P4	4	233.80	7,877	33.69	420	2.00	840	5,7,9,10,13,14,16		pt4	3,358	19.33
P49	P49	49	50.90	2,273	44.66	378	1.00	378	2		pt48	1,260	19.90

Setup Matrix



Product X													
Row	pt0	pt1	pt2	pt3	pt4	pt5	pt6	pt7	pt8	pt9	pt10	pt11	pt12
1	pt1	0	90	90	90	90	90	90	90	90	90	90	90
2	pt10	0	30	60	90	60	30	60	90	60	30	60	90
3	pt11	0	30	90	60	60	30	60	90	60	30	60	90
4	pt12	0	60	90	60	60	60	90	60	60	60	90	60
5	pt13	90	90	90	90	90	90	90	90	90	90	90	90
6	pt14	0	90	60	90	90	0	90	60	90	90	0	90
7	pt15	60	60	60	90	0	60	60	30	90	60	60	90
8	pt16	90	30	60	60	90	0	60	60	90	60	60	90
9	pt17	90	60	60	90	60	60	0	60	30	90	30	90
10	pt18	90	60	60	90	60	60	90	60	60	30	60	90
11	pt19	90	60	60	90	90	60	30	60	0	90	90	90
12	pt20	90	90	90	90	90	90	90	90	90	90	90	90
13	pt21	90	90	90	90	90	90	90	90	90	90	90	90
14	pt22	90	30	60	90	90	90	90	90	90	90	90	90
15	pt23	90	60	60	90	30	60	30	60	30	60	90	90
16	pt24	90	90	90	90	90	90	90	90	90	90	90	90
17	pt25	90	90	90	90	90	90	90	90	90	90	90	90
18	pt26	90	90	90	90	90	90	90	90	90	90	90	90
19	pt27	90	90	90	90	90	90	90	90	90	90	90	90
20	pt28	90	90	90	90	90	90	90	90	90	90	90	90
21	pt29	90	90	90	90	90	90	90	90	90	90	90	90
22	pt30	90	90	90	90	90	90	90	90	90	90	90	90
23	pt31	90	90	90	90	90	90	90	90	90	90	90	90
24	pt32	90	90	90	90	90	90	90	90	90	90	90	90
25	pt33	90	90	90	90	90	90	90	90	90	90	90	90
26	pt34	90	90	90	90	90	90	90	90	90	90	90	90
27	pt35	90	90	90	90	90	90	90	90	90	90	90	90
28	pt36	90	90	90	90	90	90	90	90	90	90	90	90
29	pt37	90	90	90	90	90	90	90	90	90	90	90	90
30	pt38	90	90	90	90	90	90	90	90	90	90	90	90
31	pt39	90	90	90	90	90	90	90	90	90	90	90	90
32	pt40	90	90	90	90	90	90	90	90	90	90	90	90
33	pt41	90	90	90	90	90	90	90	90	90	90	90	90
34	pt42	90	90	90	90	90	90	90	90	90	90	90	90
35	pt43	90	90	90	90	90	90	90	90	90	90	90	90
36	pt44	90	90	90	90	90	90	90	90	90	90	90	90
37	pt45	90	90	90	90	90	90	90	90	90	90	90	90
38	pt46	90	90	90	90	90	90	90	90	90	90	90	90
39	pt47	90	90	90	90	90	90	90	90	90	90	90	90
40	pt48	90	90	90	90	90	90	90	90	90	90	90	90
41	pt49	90	90	90	90	90	90	90	90	90	90	90	90
42	pt50	90	90	90	90	90	90	90	90	90	90	90	90

Running the Planning Solver



Planning Solver Parameters

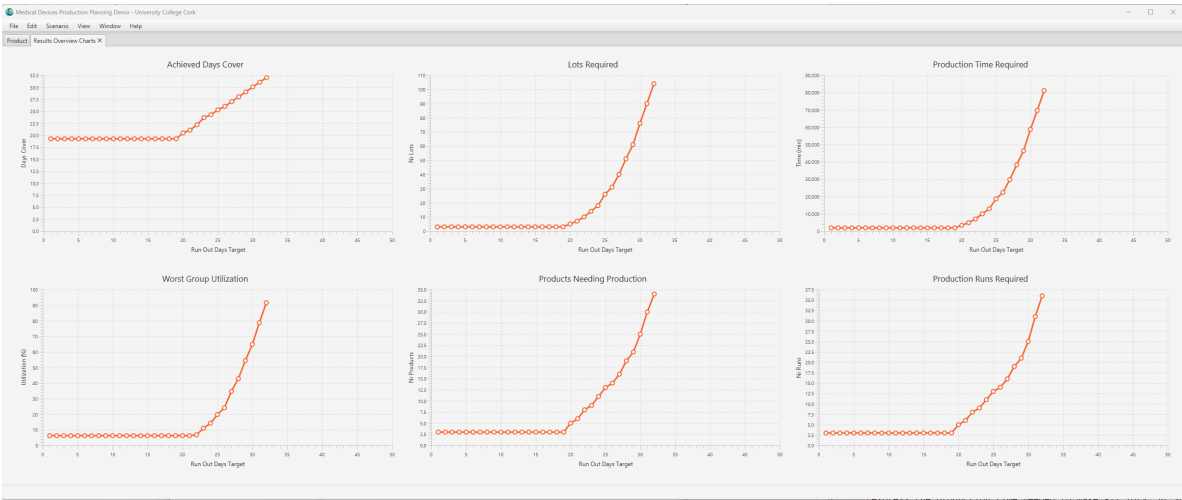
Label:

Horizon Days:

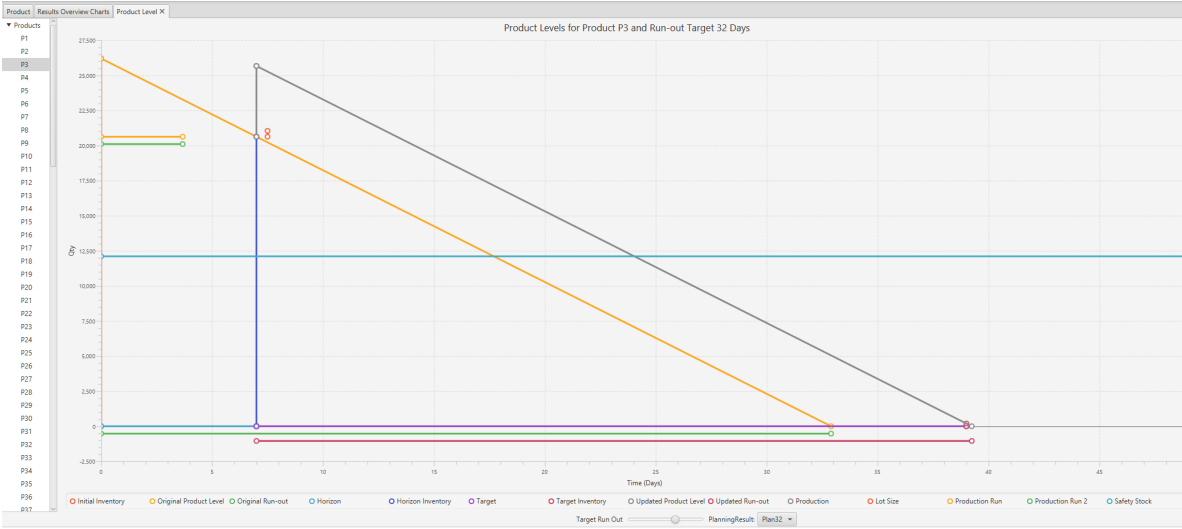
Target Max Days:

Balancing Strategy:

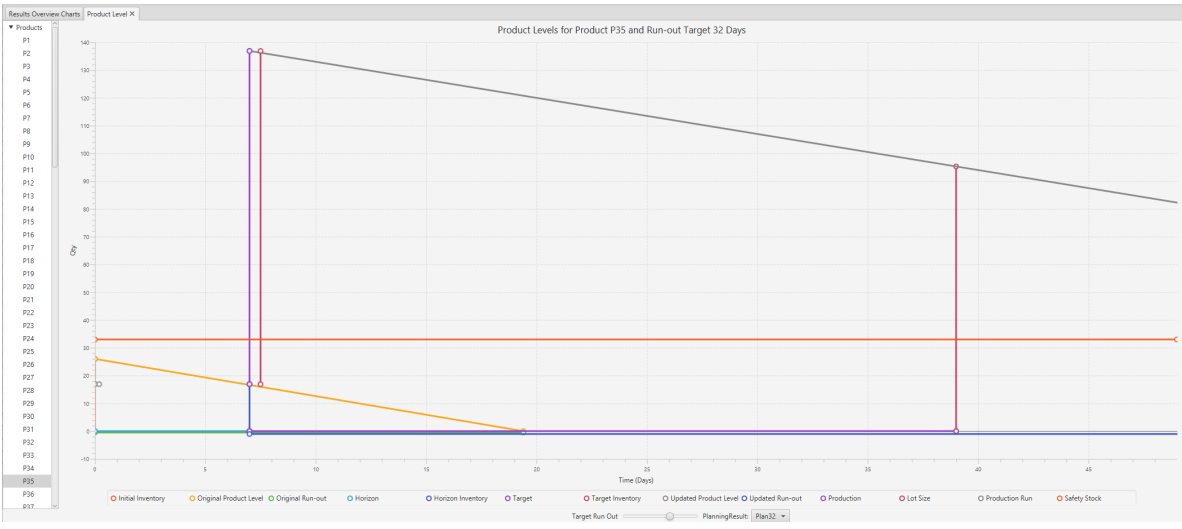
Planner Results



Product Level Chart for Product P3



Product Level Chart for Product P35

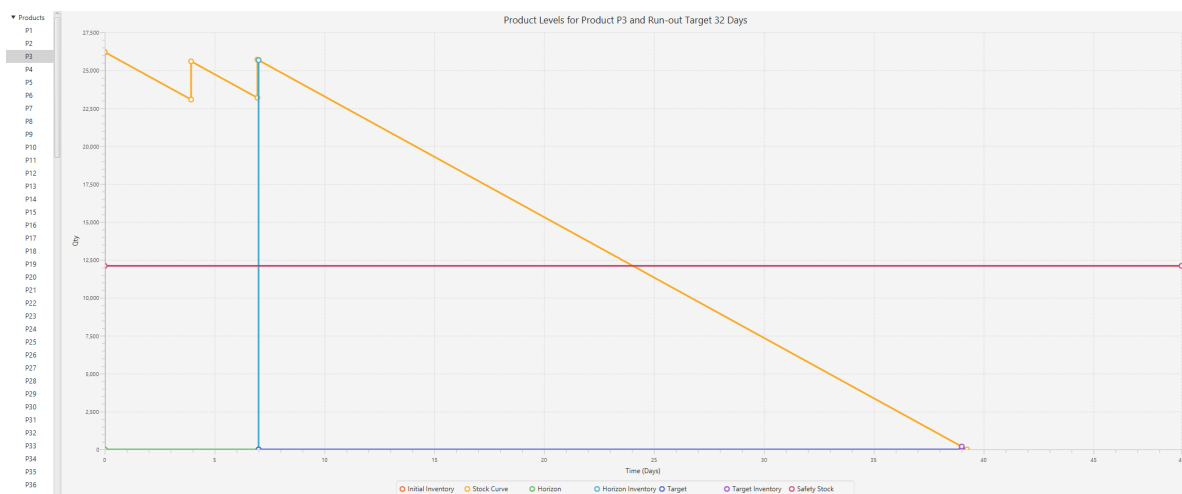


Scheduled Production Runs

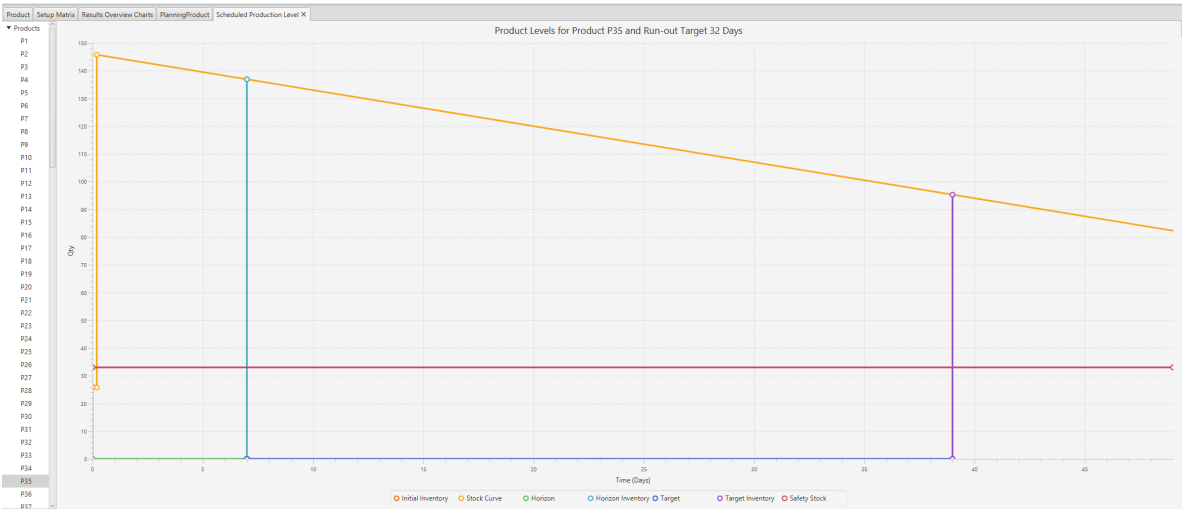


Results Overview Charts				Product Level			Scheduled Production Level			ProductionRun X	
Name	Product	NrLots	Qty	Due	Start	End	Duration	StartDay	EndDay		
job3_0	P3	6	2,520	10,080	366	5,658	5,292	0.25	3.93		
job3_1	P3	6	2,520	10,080	4,712	10,004	5,292	3.27	6.95		
job4_0	P4	3	1,260	10,080	0	2,520	2,520	0.00	1.75		
job5_0	P5	10	3,500	10,080	1,794	9,844	8,050	1.25	6.84		
job6_0	P6	7	2,450	10,080	4,224	9,859	5,635	2.93	6.85		
job6_1	P6	8	2,800	10,080	0	6,440	6,440	0.00	4.47		
job7_0	P7	1	420	10,080	7,442	8,282	840	5.17	5.75		
job8_0	P8	1	350	10,080	816	1,621	805	0.57	1.13		
job9_0	P9	1	420	10,080	3,282	4,164	882	2.28	2.89		
job10_0	P10	2	840	10,080	0	1,764	1,764	0.00	1.23		
job11_0	P11	1	420	10,080	6,500	7,382	882	4.51	5.13		
job12_0	P12	1	350	10,080	1,651	2,456	805	1.15	1.71		
job13_0	P13	3	960	10,080	0	2,208	2,208	0.00	1.53		
job14_0	P14	4	1,728	10,080	0	3,632	3,632	0.00	2.52		
job15_0	P15	1	336	10,080	2,580	3,252	672	1.79	2.26		
job17_0	P17	1	420	10,080	5,718	6,558	840	3.97	4.55		
job18_0	P18	9	3,024	10,080	3,144	9,192	6,048	2.18	6.38		
job20_0	P20	1	480	10,080	3,692	4,652	960	2.56	3.23		
job23_0	P23	7	2,520	10,080	2,516	8,312	5,796	1.75	5.77		
job26_0	P26	1	360	10,080	0	756	756	0.00	0.53		
job35_0	P35	1	120	0	0	276	276	0.00	0.19		
job36_0	P36	4	1,344	10,080	6,618	9,306	2,688	4.60	6.46		
job44_0	P44	1	360	10,080	2,298	3,054	756	1.60	2.12		
job46_0	P46	1	350	10,080	8,372	9,177	805	5.81	6.37		
job51_0	P51	1	140	6,064	0	630	630	0.00	0.44		
job53_0	P53	5	2,520	10,080	707	3,732	3,025	0.49	2.59		
job55_0	P55	1	441	10,080	2,580	3,608	1,028	1.79	2.51		
job56_0	P56	4	2,016	10,080	7,218	9,638	2,420	5.01	6.69		
job58_0	P58	2	840	10,002	3,668	5,626	1,958	2.55	3.91		
job59_0	P59	1	420	10,080	464	1,023	559	0.32	0.71		
job63_0	P63	1	490	10,080	0	652	652	0.00	0.45		
job77_0	P77	1	336	10,080	0	404	404	0.00	0.28		
job78_0	P78	1	588	10,080	0	647	647	0.00	0.45		

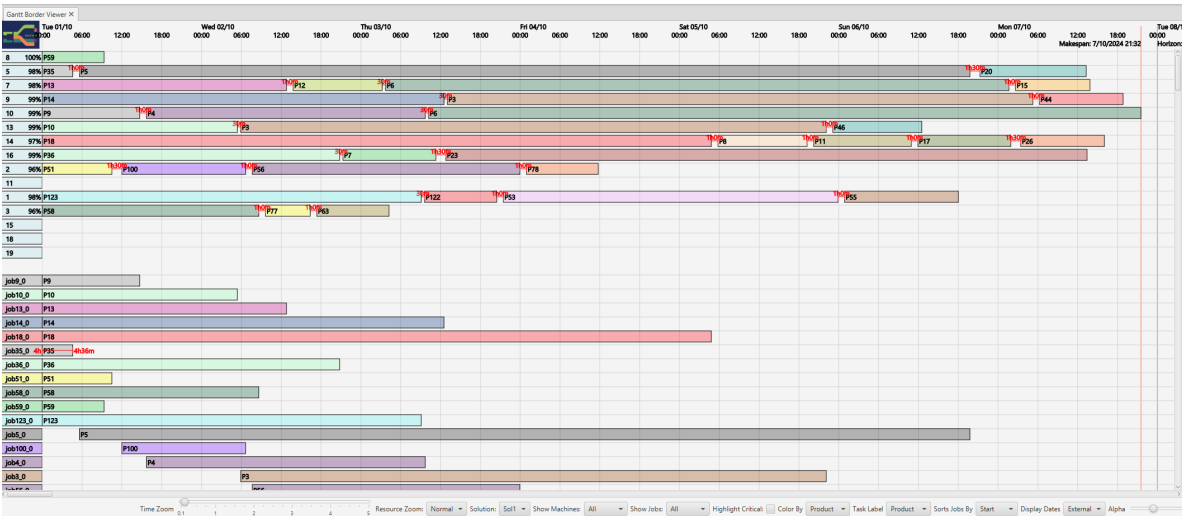
Production Level Chart for Product P3



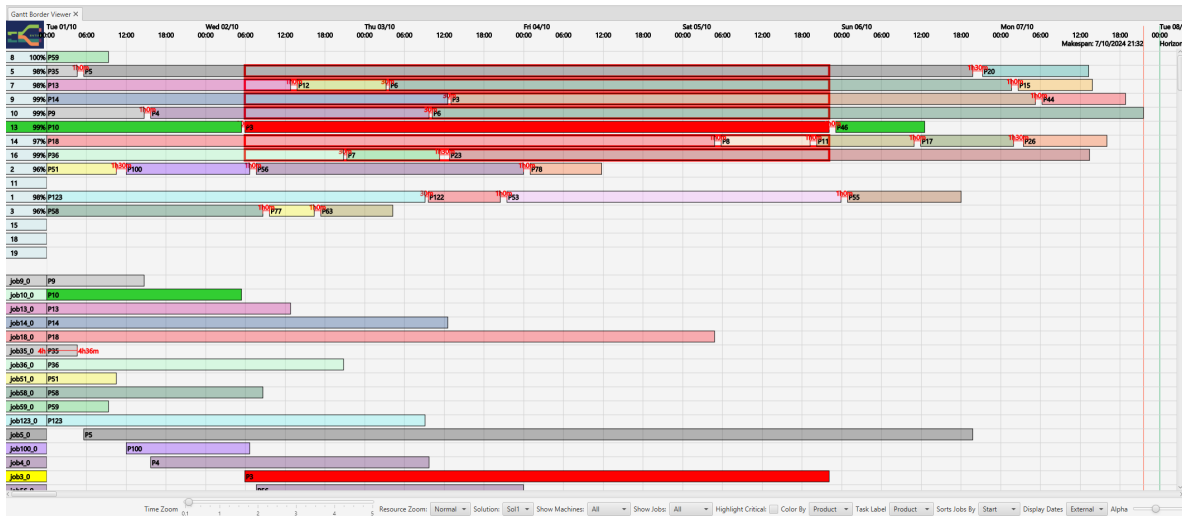
Production Level Chart for Product P35



Detailed Schedule



Showing Alternative Machines in Gantt Chart



Summary



- We demonstrated the use of our scheduling tool inside a production planning problem from industry
- Production planning decides which products to make in which quantity
 - Balance stock levels against projected demand
 - Allow for product specific safety stock levels
- Uses estimate of production capacity over planning horizon
- Use detailed scheduling to validate plan